Causality

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Outline

Cause-and-effect

Potential outcomes and counterfactuals

Observational studies

Causality and policy analysis?

These two ideas seem completely unrelated.

But, they are and stealthily show up EVERYWHERE!

Causality shows up everywhere

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> President Trump, 2025

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"Slashing federal waste through DOGE will lower inflation and reduce the deficit." — Elon Musk, 2025

Cause-and-effect $\iff$ policy impacts

These two paradigms are one and the same!

Cause is a statement of something being manipulated or changed
Effect is a measure of the change in an outcome of interest

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Cause is a statement of something being manipulated or changed
Effect is a measure of the change in an outcome of interest

"Cause" is the same as a policy introduction or change

"Effect" is the unique, independent measurement of how the cause modulated some other part of our system

Cause-and-effect: policy decisions as cause

We see causes all of the time

- The federal government increases the minimum wage
- The FAA mandates face coverings on planes
- The percentage of vaccinated individuals exceeds 50% of population
- It's windy on an Austin afternoon
- Sweetgreen decreases its Kale caesar salad price by $2
- States implement stay-at-home orders during the pandemic

Cause-and-effect: varying features as cause

Causes might also just be variation in a population

- Are dog-lovers nicer people?
- Does race affect hiring decisions?
- Does age affect COVID-19 mortality?
- Is there a "gender-gap" in salary?

The **difficult** question is, what about the effects?

What outcomes do we look at?

How do we measure them?

Are there other variables that might affect the outcomes *and* the causes?

Increasing the minimum wage

The **difficult** question is, what about the effects?

What outcomes? (**lower class unemployment rate, income, . . .**)

How to measure? (**government data, surveys, . . .**)

Other variables? (**current economic conditions, differences among states, . . .**)

Sweetgreen salad price increase

The **difficult** question is, what about the effects?

- What outcomes? (**revenue, count of kale caesars sold, . . .**)
- How to measure? (**financial data, . . .**)
- Other variables? (**seasonality, temperature, weather, . . .**)

Racial discrimination in hiring?

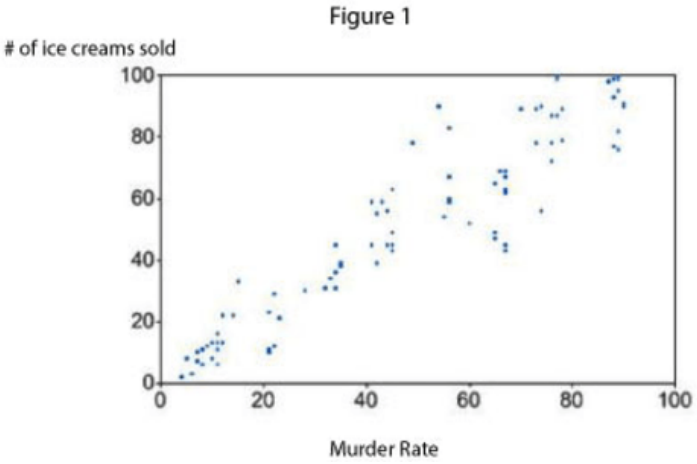
The **difficult** question is, what about the effects?

What outcomes? (**whether a job applicant receives a callback**)

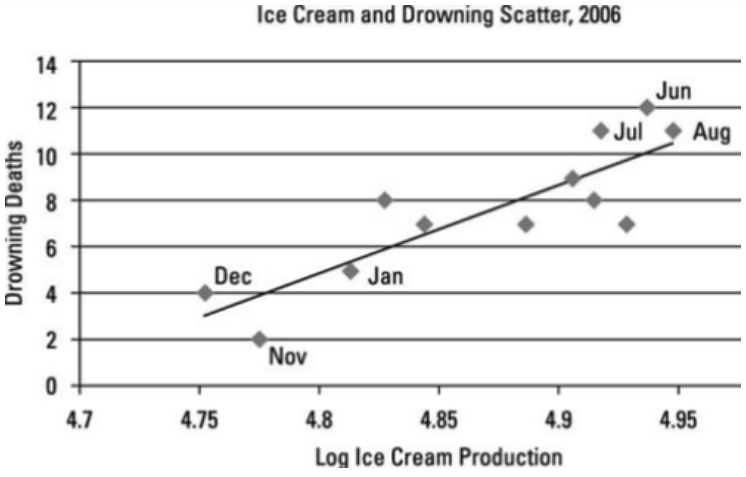
How to measure? (**follows directly from above**)

Other variables? (**other resume characteristics, GPA, university, . . .**)

Ice cream and NYC murder rate



Ice cream and drownings



To sum up cause-and-effect

Challenges are related to both the **system of study** and **ability to gather the right data**.

With data in hand, you can start to formulate hypotheses and test them.

There might be lurking variables driving an underlying relationship (ice cream). Only an expert (you!) can identify those and take them into account.

Let's formalize these ideas with some basic notation

Units of study indexed by i (**states, stores, customers, people**)

Cause aka treatment aka policy for unit i: z_i

$$z_i = \begin{cases} 0 & \text{not treated (control)} \\ 1 & \text{treated} \end{cases}$$

Outcome for each i as Y_i, written as a function of the cause:

$$Y_i(z_i) \leftarrow \text{potential outcome for unit } i$$

With this notation, we have the building blocks to talk about policy effects!

Example: COVID-19 lockdowns

How did state lockdowns at the beginning of 2020 affect the spread of the virus?

What are the potential outcomes?

Example: COVID-19 lockdowns

Let's set up the structure of this problem. Let i denote a state:

$$i \in \{\text{New York, California, Florida, Texas, South Dakota, } \dots\}$$

First, we define z_i:

$$z_i = \begin{cases} 0 & \text{no lockdown} \\ 1 & \text{lockdown} \end{cases}$$

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Second, we define our outcome: Y_i = cases per capita (in state i) after lockdown or no lockdown.

Example: COVID-19 lockdowns

A brief aside: Defining exactly what the treatment z_i is very hard! It could be a combination of many factors.

- Masking
- Bar and restaurant closures
- School closures
- Curfews
- Limits to exercise
- Retail store closures

Q: How would you define z_i?

Organizing our data: The Science Table

i **(state)**	z_i **(lockdown)**	$Y_i(0)$	$Y_i(1)$
New York			
Florida			
California			
Texas			
South Dakota			
Illinois			
⋮	⋮	⋮	⋮

Organizing our data: The Science Table

i (state)	z_i (lockdown)	$Y_i(0)$	$Y_i(1)$
New York	1		
Florida	0		
California	1		
Texas	0		
South Dakota	0		
Illinois	1		
⋮	⋮	⋮	⋮

Organizing our data: The Science Table (CDC, cases/100k)

i (state)	z_i (lockdown)	$Y_i(0)$	$Y_i(1)$
New York	1		.0034
Florida	0	.007	
California	1		.0014
Texas	0	.004	
South Dakota	0	.0028	
Illinois	1		.002
⋮	⋮	⋮	⋮

Organizing our data: The Science Table (CDC, cases/100k)

i (state)	z_i (lockdown)	$Y_i(0)$	$Y_i(1)$
New York	1	??	.0034
Florida	0	.007	??
California	1	??	.0014
Texas	0	.004	??
South Dakota	0	.0028	??
Illinois	1	??	.002
⋮	⋮	⋮	⋮

What is the ideal scenario?

We are able to know both of the potential outcomes for each state!

Y_{NY}  and Y_{NY} 

Defining a causal effect for NY

We can define the **causal effect** of the "lockdown treatment" as the difference between the two potential outcomes.

$$\tau_{\text{NY}} = Y_{\text{NY}}\left(\text{  }\right) - Y_{\text{NY}}\left(\text{  }\right)$$

Or written more generally:

$$\tau_i = Y_i(1) - Y_i(0)$$

The fundamental problem of causal inference

We only observe one of the two potential outcomes for each unit.

Economics of COVID policy: a state either locks down or doesn't

Drug trials: an individual either receives the medicine or the placebo

Gender wage gap: a person is either male or female

The unknown outcomes are called the **missing potential outcomes** or **counterfactuals**.
This is what makes causality a nontrivial task... it is a missing data problem.

The potential outcomes framework is **always** our starting point.

Note: Randomized controlled trials (RCTs) are the **gold standard**—when treatment is randomly assigned, treatment and control groups are comparable, and causal effects are straightforward to estimate.

From potential outcomes to observational studies

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Note: Randomized controlled trials (RCTs) are the **gold standard**—when treatment is randomly assigned, treatment and control groups are comparable, and causal effects are straightforward to estimate.

But in many settings we have **observational data**: treatment is *not* randomized, it is simply observed.
"I observe states lockdown and not lockdown"
"I observe minimum wage increases in some places and not others"

We can't control what we observe, but we can still try to use this variation to answer interesting causal questions!

Observational studies

Let's use the minimum wage increase in NJ as our running example.

1992, NJ increased minimum wage from \$4.25 to \$5.05 per hour

Causal question: Did this increase **reduce** or **increase** employment?

Several approaches:

- Compare outcome in NJ to PA: cross-sectional comparison
- Compare similar groups in NJ and PA: subclassification / statistical control
- Compare same group before and after: panel comparison / before-after
- Compare before-after in NJ to before-after in PA: difference-in-differences

Cross-sectional comparison

Define $\overline{Y}^{\text{NJ}}$ and $\overline{Y}^{\text{PA}}$ as average % full-time employees in fast-food restaurants.

$$\text{causal effect} = \overline{Y}^{\text{NJ}} \text{ (treatment)} - \overline{Y}^{\text{PA}} \text{ (control)}$$

Q: What are some issues?

Cross-sectional comparison

Define $\overline{Y}^{\text{NJ}}$ and $\overline{Y}^{\text{PA}}$ as average % full-time employees in fast-food restaurants.

$$\text{causal effect} = \overline{Y}^{\text{NJ}}\ (\text{treatment}) - \overline{Y}^{\text{PA}}\ (\text{control})$$

Q: What are some issues?

Confounding! NJ and PA might differ in economies, politics, populations, etc.

Pick covariates X that might be confounding. Compute the causal effect only on units with **identical** values of X.

$$\text{causal effect} = \overline{Y}^{\text{NJ}}_{X=\text{Taco Bell}} - \overline{Y}^{\text{PA}}_{X=\text{Taco Bell}}$$

Matching: compare apples-to-apples!

Q: What other X's could be used?

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Q: What other X's could be used?

Geographic location, closeness to NJ-PA border, urban or rural area

What if we have data measured *over time*? Panel or longitudinal data.

$$Y^{\text{NJ}}_{i,\text{before}} \longrightarrow \textbf{min wage hike} \longrightarrow Y^{\text{NJ}}_{i,\text{after}}$$
$$Y^{\text{PA}}_{i,\text{before}} \longrightarrow \textbf{min wage hike} \longrightarrow Y^{\text{PA}}_{i,\text{after}}$$

$$\text{causal effect} = \overline{Y}^{\text{NJ}}_{\text{after}} - \overline{Y}^{\text{NJ}}_{\text{before}}$$

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$$Y_{i,\text{before}}^{\text{PA}} \longrightarrow \textbf{min wage hike} \longrightarrow Y_{i,\text{after}}^{\text{PA}}$$

$$\text{causal effect} = \overline{Y}_{\text{after}}^{\text{NJ}} - \overline{Y}_{\text{before}}^{\text{NJ}}$$

Q: What are some issues?

Confounding again! Time is potentially an issue (remember ice cream).

Remove time-trend confounding by using panel data from both treated (NJ) and control (PA).

Four outcomes: $\overline{Y}^{\text{NJ}}_{\text{before}}, \overline{Y}^{\text{NJ}}_{\text{after}}, \overline{Y}^{\text{PA}}_{\text{before}}, \overline{Y}^{\text{PA}}_{\text{after}}$

$$\text{DiD} = (\overline{Y}^{\text{NJ}}_{\text{after}} - \overline{Y}^{\text{NJ}}_{\text{before}}) - (\overline{Y}^{\text{PA}}_{\text{after}} - \overline{Y}^{\text{PA}}_{\text{before}})$$

Why does this work?

answer 1: picture

answer 2: some math

Difference-in-differences (math explanation)

$4 \times N$ potential outcomes, 2 for each state: $\{Y_i^{\mathsf{NJ}}(0), Y_i^{\mathsf{NJ}}(1), Y_i^{\mathsf{PA}}(0), Y_i^{\mathsf{PA}}(1)\}$ for all i

$$
\begin{aligned}
\text{DiD} &= (\overline{Y}^{\mathsf{NJ}}_{\text{after}} - \overline{Y}^{\mathsf{NJ}}_{\text{before}}) - (\overline{Y}^{\mathsf{PA}}_{\text{after}} - \overline{Y}^{\mathsf{PA}}_{\text{before}}) \\
&= \Big(\mathbb{E}[Y_i^{\mathsf{NJ}}(1)|\text{after}] - \mathbb{E}[Y_i^{\mathsf{NJ}}(0)|\text{before}]\Big) \\
&\quad - \Big(\mathbb{E}[Y_i^{\mathsf{PA}}(0)|\text{after}] - \mathbb{E}[Y_i^{\mathsf{PA}}(0)|\text{before}]\Big) + 0 \\
&= \Big(\mathbb{E}[Y_i^{\mathsf{NJ}}(1)|\text{after}] - \mathbb{E}[Y_i^{\mathsf{NJ}}(0)|\text{after}]\Big) \\
&\quad + \Big(\mathbb{E}[Y_i^{\mathsf{NJ}}(0)|\text{after}] - \mathbb{E}[Y_i^{\mathsf{NJ}}(0)|\text{before}]\Big) \\
&\quad - \Big(\mathbb{E}[Y_i^{\mathsf{PA}}(0)|\text{after}] - \mathbb{E}[Y_i^{\mathsf{PA}}(0)|\text{before}]\Big)
\end{aligned}
$$

Difference-in-differences (math explanation)

$$\begin{aligned}\text{DiD} = &\Big(\mathbb{E}[Y_i^{\text{NJ}}(1)|\text{after}] - \mathbb{E}[Y_i^{\text{NJ}}(0)|\text{after}]\Big) \\ &+ \Big(\mathbb{E}[Y_i^{\text{NJ}}(0)|\text{after}] - \mathbb{E}[Y_i^{\text{NJ}}(0)|\text{before}]\Big) \\ &- \Big(\mathbb{E}[Y_i^{\text{PA}}(0)|\text{after}] - \mathbb{E}[Y_i^{\text{PA}}(0)|\text{before}]\Big)\end{aligned}$$

First part: $\mathbb{E}[Y_i^{\text{NJ}}(1)|\text{after}] - \mathbb{E}[Y_i^{\text{NJ}}(0)|\text{after}]$ = sample average treatment effect (of treated)

Second part: (slope of NJ line) − (slope of PA line)

Parallel trend assumption: second part $= 0$

The DiD estimate can be obtained from a simple **regression**. Suppose we have panel data with units i observed at times t:

$$Y_{it} = \alpha + \beta_1 \cdot \text{Treat}_i + \beta_2 \cdot \text{Post}_t + \delta \cdot (\text{Treat}_i \times \text{Post}_t) + \varepsilon_{it}$$

$\text{Treat}_i = 1$ if unit i is in the treatment group (e.g., NJ)

$\text{Post}_t = 1$ if time t is after the intervention

δ is the **DiD estimator** — this is the causal effect!